

Rethinking Industrial Policy for Bangladesh in a Fragmented Trade System

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Industrial policy has re-emerged as global economic shifts have moved the debate from whether governments should intervene to how such intervention can be effectively designed (Juhász et al., 2023). Trade fragmentation, geopolitical tensions, and weakening global value chains (GVCs) have reshaped the costs and benefits of state intervention, particularly for developing countries. Bangladesh illustrates this shift: its export-led growth model, centred on ready-made garments, has generated strong exports but limited structural transformation, raising concerns about its sustainability amid rising protectionism and re-shoring in advanced economies. This brief evaluates the relevance of traditional critiques of industrial policy in Bangladesh, examines interactions with external integration and state capacity, assesses key policy instruments, and proposes a targeted strategy suited to Bangladesh's institutional constraints.

Motivations Behind Industrial Policy

Events such as the US-China trade wars have heightened geopolitical tensions over the last few years, rendering the future of global trade and GVCs more uncertain than in recent decades. Following the current climate, commentators have discussed motivations for industrial policy in Western economies and its divergence from traditional arguments. Attention has also turned to developing nations like Bangladesh, who updated their National Industrial Policy Plan in 2022.

Traditional View

Traditional industrial policy theory states that countries invest more resources in sectors with high participation in GVCs and to correct market failures, bolstering growth (OECD, n.d.). In recent years, however, researchers have argued that this motive is fainter with recent movements in the West following the prevalence of fragmented trade.

Recent Western Shift

The Western world has revised its approach towards implementing industrial policy, with many countries relying on trade restrictions and reducing domestic financial support, opting for a more protectionist perspective to build robustness (Espejo, 2025). In addition, countries are increasingly attributing economic fragmentation as a reason for this re-composition. This could induce revisions for intentions behind industrial policy in developing countries such as Bangladesh.

Bangladesh's National Industrial Policy Plan

In 2022, the Bangladesh Government updated its industrial policy plan, strengthening its manufacturing sector, and prioritizing the enhancement of sectoral productivity and the promotion of labour-intensive industrialization (Bangladesh

Government, 2022). Industrialization is seen as a catalyst for growth and development, somewhat in line with traditional arguments. But again, the future of this remains uncertain given the current fragmented climate and actions in the West and, thus, whether their developing counterparts will follow suit.

Industrial Policy Interactions

Trade Openness and Asymmetric Liberalization

In Bangladesh, industrial policy has focused on managing the tension between trade openness and protectionism through asymmetric liberalization. The state has ensured liberal access to imported intermediate inputs, essential for the export-oriented ready-made garment sector, while selectively supporting domestic input suppliers (Begum, 2025). This dual strategy reflects Bangladesh's integration into GVCs while seeking to limit dependence on low value-added assembly. Without such coordination, trade openness risks entrenching reliance on imported inputs, exacerbating balance-of-payments pressures and constraining technological upgrading in domestic manufacturing (Hauge, 2020).

FDI and Strategic Bargaining

Through strategic bargaining with foreign investors, industrial policy in Bangladesh determines how the benefits of GVC participation are distributed. While the garment sector relies heavily on foreign buyers and investors for assembly activities, policy mechanisms have the potential to encourage joint ventures and local sourcing, thereby promoting technology transfer and the development of backward linkages. Current practices channel substantial FDI into labour-intensive manufacturing but generate only limited domestic value addition (Begum, 2025). Strategic engagement with investors thus allows Bangladesh to balance the attraction of foreign capital with the goal of capturing greater technological and industrial gains.

State Capacity and Performance-Based Incentives

The effectiveness of industrial policy in Bangladesh is closely linked to state capacity, particularly in implementing performance-based incentives. Limited bureaucratic and administrative resources constrain the government's ability to condition financial support (through credit subsidies or tax exemptions) on rigorous firm-level targets, including export volumes or local content requirements (Begum, 2025). Similarly, state capacity restricts the scope for high-risk, state-led investments that could challenge established transnational corporations. Consequently, industrial policy outcomes are shaped not only by the design of incentives but also by the government's ability to monitor compliance and coordinate interventions, which in turn influences the extent of domestic value capture (Rodrik, 2004).

Effectiveness of Industrial Policy Tools

Policy Instrument	Assessment	Prevalence
Low-Effectiveness Tools (Currently Over Utilised)		
Export Promotion	Delivers strong results only where governments can discipline firms, withdraw support, and prevent permanent protection; under weak institutions it becomes subsidy-heavy, fiscally costly, and prone to rent-shifting rather than productivity upgrading.	High
Targeted Subsidies	Least robust tools under weak institutions because they require precise market-failure identification, strong monitoring, and credible exit; in practice they are prone to rent-seeking, capture, and persistence.	Medium-High
Mixed-Effectiveness Tools (Unevenly Utilised)		
Industrial Parks	Effective when they solve coordination failures and provide missing public inputs, but fail when used to create sectors ex nihilo or rely on protection, often becoming rent-generating enclaves in low-capacity environments.	High but uneven
High-Effectiveness Tools (Currently Underutilised)		
Public Procurement	Performs well under institutional constraints because it limits discretion, reveals cost information, and ties support to delivery rather than firm selection, provided competition is genuine.	Low
Supplier Development	Robust under weak institutions as they address coordination and information failures, support skills and technology upgrading, and avoid large fiscal transfers or ex ante winner-picking.	Very low

Policy Recommendations

Prioritise coordination-based instruments

- Given limited state capacity, industrial policy should favour coordination-based tools that reduce information asymmetries and address coordination failures through structured state–business engagement, rather than firm-specific subsidies requiring intensive monitoring and credible exit mechanisms.
- Such instruments are more effective under existing institutional constraints and lower the risk of misallocation and policy capture.

Use Public Procurement to Build Domestic Capabilities

- Expand competitive public procurement programmes that explicitly link government purchasing to domestic supplier development, incentivising learning, quality upgrading, and entry into higher-value segments.
- Procurement’s transparency and performance-based design can upgrade local capabilities while minimising monitoring burdens and rent-seeking risks.

Reform Export Promotion and Special Economic Zones (SEZs)

- Reorient export promotion and SEZ-based incentives by introducing rigorous, time-bound performance criteria with credible withdrawal mechanisms for non-compliance (Rodrik, 2004), alongside competitive allocation and clear sunset clauses.
- Repurpose SEZs beyond enclave models by mandating progressive local content and technology transfer requirements, transforming them into platforms for industrial deepening and value-chain upgrading.

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